

## What IRIS Actually Fixed

**Deck:** Iceland's third cable gets the credit for the country's swing from crypto to AI infrastructure. The record supports something narrower, and points at the grid.

*By Justin Kang*

In April 2026, data center operator Verne and AI cloud provider Nscale completed the first phase of a GPU buildout at Verne's campus near Keflavík: 7.5MW of capacity, with 128 racks delivered, including 64 liquid-cooled racks of Nvidia GB300 GPUs, finished in about three months by the companies' account. Verne disclosed the milestone in an April 23 LinkedIn post, and called it the company's first liquid-cooled deployment in Iceland. It is part of a 15MW lease signed in November 2025 that targets 4,600 Nvidia Blackwell Ultra GPUs deployed through calendar 2026.

Iceland's data center sector did not always host this kind of tenant. A 2018 KPMG report, cited in Data Center Dynamics' later coverage, found that 90 percent of the nation's data center capacity was mining cryptocurrency; the consultancy's underlying metric is not detailed in that coverage, but the estimate captures the sector's heavy concentration in cryptocurrency mining at the time. The same year, a gang stole 600 servers worth almost \$2 million from mining facilities, a crime that said more about the security posture that particular workload tolerated than about Icelandic infrastructure generally. Operators have since made the contrast deliberate: at North's newer sites feature man-traps and perimeter security, and the company says it no longer takes crypto customers at all.

Ask the industry what changed between those two snapshots and one answer dominates: IRIS, the third submarine cable linking Iceland to Europe, ready for service since March 1, 2023. Farice, its state-owned operator, credits it. So do Ciena, SubCom, and ministers in two countries. This article, drawing on an infrastructure inventory of Iceland compiled for a university research project along with company, regulatory, and trade sources, tests how much of that credit the record supports.

The answer is narrower than the chorus suggests. IRIS did not create the demand now arriving in Iceland, and nothing public proves it was decisive in any individual investment, including the Nscale deal. What it did was remove the one constraint that independent analysis had actually diagnosed, cutting risk and improving Iceland's competitiveness at the moment global AI demand and European power politics made the country's energy advantage marketable. Connectivity no longer disqualifies Iceland. Generation and transmission now decide how far it scales.

## A thirteen-year gap, and what filled it

Compiling every international cable Iceland has ever had, from the 1906 telegraph landing at Seyðisfjörður onward, exposes a pattern that no single announcement shows. The fiber era arrived in stages: CANTAT-3 in 1994, FARICE-1 in 2004, DANICE in September 2009. Then nothing until IRIS in March 2023. Thirteen and a half years, the longest interval between new systems since Icelandic subsea fiber began.

That gap overlaps almost exactly with the sector's lost decade. In 2012, Iceland pledged that its renewable power would supply 1 percent of Europe's data center demand by 2020, roughly 1.5TWh. Writing in October 2022, DCD's Peter Judge concluded the country had reached about a third of what its state utility had hoped for; his own rough calculation from Landsvirkjun's 2021 annual report put national data center demand near 60MW of continuous load, while Frankfurt, London, Amsterdam, and Paris each approached a gigawatt. His diagnosis was specific. Iceland's power was cheap and clean; what failed was connectivity. Early colocation hopes died on latency, established hubs held customers through network effects, and what remained viable were workloads indifferent to both response times and reputation. Cryptocurrency mining fit perfectly.

Overlaying the cable timeline on that history is an alignment, not a proof. But it identifies precisely what any new cable would have to fix, and it frames the question correctly: not why Iceland grew after 2023, but why a country with some of the cheapest clean power in Europe barely grew for the ten years before.

## **What the cable changed**

IRIS was designed against that diagnosis, on the record, before the outcome existed. The supply contract with SubCom came into force in April 2021. Farice's survey announcement that September said the Þorlákshöfn landing site was chosen partly to be sufficiently diverse from existing landing stations, addressing route concentration explicitly. The system, roughly 1,700km with six fiber pairs, was contracted at 108Tbps of design capacity; Farice now lists a maximum of 132Tbps using Ciena's WaveLogic 5 Extreme optics. It runs to Ballyloughane Strand in Galway, designated an Irish international landing location in 2019 with terrestrial backhaul already built, and delivers service from Dublin. SubCom handed the completed system to Farice on November 11, 2022; it was ready for service on March 1, 2023, and Farice and Ciena publicized the activation on May 23, 2023.

Two numbers define the improvement. Latency from Iceland to Dublin fell from about 34 milliseconds to about 10.5, a figure Farice's CEO has described as one-way. And with a third geographically separate route, Farice says the theoretical availability of Iceland's international connectivity now reaches six nines, on the order of seconds of theoretical downtime per year. Both are the operator's own claims, but they describe measurable properties of a real system, and the funding trail confirms intent: IRIS was backed by an estimated €50 million state capital increase in Farice, ultimately found compatible with the EEA Agreement after an earlier approval was annulled and ESA conducted a formal investigation. When the contract was signed in 2021, two years before mainstream generative AI demand existed, CEO Thorvardur Sveinsson said the system could "advance the use of green energy in Iceland for international digital processing needs." The energy-to-compute rationale was a stated aim from the start, though Sveinsson has been equally clear that national connectivity security was the primary reason the cable was built.

## **Why redundancy matters more than the headline latency**

For the workloads now arriving, the 10.5ms figure is the least of it. Training runs on GPU clusters are largely indifferent to distance; a model does not care whether Dublin is 10 or 34 milliseconds away.

Latency matters for real-time inference and interactive cloud services, not for the batch computation that fills a 7.5MW hall.

What enterprise AI customers do demand is availability. Moving training data in, replicating checkpoints out to other regions, operating a facility remotely, and integrating an Icelandic site into a cloud footprint anchored in Dublin all depend on connectivity that does not fail, and on contracts that can promise it will not. A third geographically diverse route materially strengthened operators' ability to offer the redundancy and service assurances expected by hyperscale and enterprise customers, backed by Farice's stated six-nines theoretical availability. Verne's CTO Tate Cantrell captured the commercial half of this when he told DCD the cable gave his company "a lower latency connection to the Dublin Mecca of cloud infrastructure"; the reliability half is what makes the sales conversation possible at all. That, rather than raw speed, is the mechanism by which a cable plausibly changed what Iceland could host.

## **The money that followed, and what it does not prove**

Investment of a previously unseen type arrived after activation. Ardian completed its acquisition of Verne from Digital 9 Infrastructure on March 15, 2024, committing up to \$1.2 billion in equity and debt with a stated plan to multiply the company's sold capacity of 29MW for 2023 by close to four times in the medium term. The Nscale lease followed in November 2025, and the GPU hall it produced is among the clearest signs yet of Iceland's move toward dense AI infrastructure.

The sequence is real. Its interpretation needs care, for four reasons.

First, the most prominent operator says its strategy predates the cable. Cantrell told DCD that Verne arrived before the Bitcoin boom, was built for high-performance computing from the start, and has hosted machine-learning training customers since 2016, by his account. If so, IRIS removed an obstacle in front of an existing strategy rather than creating one.

Second, capital was circling Icelandic platforms before the cable existed. Partners Group agreed to acquire atNorth in December 2021, before IRIS entered service. Nordic data center platforms were an investment theme in their own right, and Ardian's purchase included Verne's Finnish and UK assets. The post-2023 money is consistent with a regional bet that Iceland participated in, not only an Iceland-specific response to a cable.

Third, the marquee customer never mentioned the cable. Nscale's and Verne's public statements about the 2025 lease emphasize renewable power availability, the fully renewable campus, and free cooling. Neither company has publicly identified IRIS as a reason for the deal. That silence does not mean connectivity was irrelevant; enterprise site selection rarely itemizes its assumptions. It does mean the strongest available investment evidence never makes the causal claim the industry narrative makes on its behalf.

Fourth, an independent push arrived at the same time. Judge's 2022 analysis noted that European power prices had risen roughly tenfold in eight months while Iceland's held near \$42 per MWh, and that data centers had become unpopular in Ireland, Denmark, and the Netherlands over their appetite for power, water, and land; Irish officials later said the industry consumed almost a fifth of the country's electricity in

2022. Iceland could gain ground simply because competitors were losing it. The cable and the energy shock arrived within a year of each other, and their effects cannot be cleanly separated afterward.

The mining era, meanwhile, has shrunk rather than vanished. atNorth's CEO told DCD in 2024 that crypto had reduced substantially but would surprise him by disappearing, and DCD's reporting found Borealis still serving mining customers. The shift is in the sector's center of gravity, not a clean exit.

## **What can be said**

Stripped of promotional language, the record supports this: IRIS was an enabling condition and a risk-reduction mechanism, and plausibly an accelerant. It eliminated the documented reason a decade of cheap renewable power had attracted mostly mining rigs, and it did so just before demand arrived that could use the fix. It created none of that demand, cannot be shown to have decided any single investment, and does not govern how large the market becomes. Ten years of pre-IRIS stagnation show that power alone was never enough; two years of post-IRIS growth show that connectivity plus power plus external demand can be. The honest division of credit stops there.

## **The constraint has moved, twice over**

What limits Iceland now is not one problem but two, and they have different owners, price tags, and clocks. The first is generation: Landsvirkjun's business development director told DCD in early-2024 reporting, before the Nscale lease existed, that the utility faces more demand than it can deliver. New generation in Iceland means hydro and geothermal projects with development timelines measured in years and permitting politics attached. The second is transmission: getting existing power to specific campuses. That one, operators are buying themselves. Borealis funded a dedicated substation at its Reykjavík-area site; Verne has broken ground on a 240MVA substation of its own. Self-funded site electrification can move at commercial speed. New national generation cannot.

A century of Icelandic energy policy suggests how the country will respond: as researchers at the University of Iceland and Landsvirkjun put it in a 2026 volume, Iceland has always exported its electricity embodied in industry, aluminum smelting first and now, increasingly, computation.

Farice, for its part, is already building for the demand side of that equation. AUÐUR, announced on April 24, 2026, will run from southern Iceland to a delivery point in Glasgow or Edinburgh, with a marine survey scheduled for summer 2027 and operation anticipated by 2030. Icelandic media report it is intended to succeed the 22-year-old FARICE-1; Farice's release does not address financing, and the company remains fully state-owned. The proposed 16 to 24 fiber pairs, compared with IRIS's six, signal how much additional physical headroom Farice expects future data center demand to require; the company describes Icelandic sites as able to be "seamlessly integrated into network topologies, bridging the US and Nordic markets."

For site-selection, energy, and investment professionals, the Icelandic case now reads simply. International connectivity is no longer Iceland's primary competitive constraint, and AUÐUR is intended to add further headroom and diversity. The practical lesson follows: Iceland can now support serious AI

deployments, but the availability of generation and grid connections will determine whether isolated projects become a market at scale. Whoever explains Iceland's next phase will not be asking which cable unlocked it. They will be asking which substation did, and who paid for the power behind it.

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